Profit-Loss Ratio

This ratio is the measure of profits and losses over some specific period. It is the actual booked profits and losses from every trade you have taken. To find your profit-loss in detail you need to add up every winning trade and every losing trade from over a few weeks to several months. For example, at the end of 3 months trading you have a profit of $5,800 and a loss of $1,750. Your profit-loss ratio would be 1:3.3. You need historical trading data to attempt these calculations. Some trading platforms provide downloadable .csv excel sheets with your trading data that would make this exercise easier. If not, you can do these calculations by hand. For new traders you must first develop your trading system or technical edge in order to back-test your system with past market data to generate hypothetical results you can use as a baseline.

Risk-to-Reward Ratio

Unlike the profit-loss ratio, the risk to reward ratio is measured on a trade by trade basis. If you have a risk- reward ratio of 1:3, it means you make $3 for every $1 you risk. Please note that there is no preset rate of return actively trading forex. Your rate of return will be derived from your money management skills and the effectiveness of your trading system. It will always be in your best interest to only enter trades/positions with a minimum risk to reward ratio of 1:2 otherwise this strategy will not be as effective and a risk to reward ratio of 1:1 is acceptable but not ideal.

Before entering any trade/position you NEED to devise a trading plan that comprises of

- Your startup capital
- Your capital goal
- How much your risking each trade
- Your entry price, stop loss price
- How long you plan to keep the trade open (Your holding period has to correspond with your trading style) the total number of trades you can place with your start up capital

Position Sizing

1. Determine the percentage of risking capital between (1-3%) of total trading capital
2. Define your stop loss level generated from your trading system
3. Divide the risking capital by the number of pips between your entry level & stop loss level to find the lot size factor.
4. Divide the lot size factor by 10 for USD quoted currencies or by 1000 for Yen quoted currencies to find the leveraged Lot size needed to use for that trade/position.

Risk-Free Trading

If your position shows a profit equal to your max potential loss, you should look to adjust your stop loss to breakeven/entry price

1: Trade Entry

Enter your trade setup with your take profit & stop loss orders in place.

2: Risk Adjustment

After price has advanced in the direction of your position, you can adjust your stop loss order above you entry price in order to secure some profits. If price was to suddenly change direction you would cover the cost of trading and breakeven, preserving your trading capital. However, if you move your stop loss order too soon you will not allow price sufficient room to fluctuate causing you to possibly get stopped out early in your trade.